



# ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

*57th Legislature, 2nd Regular Session*

*Majority Research Staff*

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**HB 2940: AHCCCS; eligibility; verification; SNAP; contractors**

## **GILLETTE FLOOR AMENDMENT**

Strikes language that requires an employee of the Arizona Health Care Cost Containment System or the Arizona Department of Economic Security to forfeit all benefits under the Arizona State Retirement System if the employee is found through an audit log to have willfully not complied with the eligibility verification requirements prescribed by the bill.

GILLETTE FLOOR AMENDMENT  
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2940  
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 36, chapter 29, article 1, Arizona Revised  
3 Statutes, is amended by adding sections 36-2930.07 and 36-2930.08, to  
4 read:

5 36-2930.07. Health benefit purchasing organizations

6 A. NOTWITHSTANDING ANY OTHER LAW TO THE CONTRARY, SUBJECT TO THE  
7 APPROVAL OF THE CENTERS FOR MEDICARE AND MEDICAID SERVICES, THE  
8 ADMINISTRATION SHALL CONTRACT WITH HEALTH BENEFIT PURCHASING ORGANIZATIONS  
9 TO MANAGE THE PROVISION OF SERVICES TO MEMBERS. A HEALTH BENEFITS  
10 PURCHASING ORGANIZATION MAY INCLUDE:

- 11 1. A RETAILER.
- 12 2. A MEMBERSHIP ORGANIZATION.
- 13 3. A COOPERATIVE.
- 14 4. A TRADE OR FRATERNAL ASSOCIATION.
- 15 5. ANY OTHER HEALTH PLAN.

16 B. A HEALTH BENEFITS PURCHASING ORGANIZATION SHALL BE LICENSED  
17 UNDER TITLE 20 AND MUST DEMONSTRATE SOLVENCY, MAINTAIN CLAIMS RESERVES,  
18 COMPLY WITH ALL FRAUD CONTROLS AND ACCEPT THE ADMINISTRATION'S PUBLISHED  
19 FIXED BENEFIT PRICING.

20 36-2930.08. Fixed benefit price list; reimbursement; provider  
21 disclosure; explanation of benefits

22 A. NOTWITHSTANDING ANY OTHER LAW TO THE CONTRARY, SUBJECT TO THE  
23 APPROVAL OF THE CENTERS FOR MEDICARE AND MEDICAID SERVICES:

- 24 1. THE ADMINISTRATION SHALL PUBLISH AND ANNUALLY UPDATE A FIXED  
25 BENEFIT PRICE LIST.
- 26 2. EACH CONTRACTOR SHALL REIMBURSE HEALTH CARE PROVIDERS AT OR  
27 ABOVE THE RATES ON THE FIXED BENEFIT PRICE LIST.

1 B. EACH HEALTH CARE FACILITY AND HEALTH CARE PROVIDER THAT RECEIVES  
2 REIMBURSEMENT PURSUANT TO THIS ARTICLE SHALL DISCLOSE A FIXED BENEFIT  
3 PRICE LIST BASED ON BILLING CODES FOR COMMON SERVICES PROVIDED PURSUANT TO  
4 THIS ARTICLE.

5 C. EACH MEMBER SHALL BE MAILED AN EXPLANATION OF BENEFITS ITEMIZED  
6 BY BILLING CODE AFTER EACH SERVICE.

7 Sec. 2. Heading change

8 The chapter heading of title 41, chapter 57, Arizona Revised  
9 Statutes, is changed from "MISCELLANEOUS" to "STATE AGENCIES GENERALLY".

10 Sec. 3. Title 41, chapter 57, Arizona Revised Statutes, is amended  
11 by adding articles 2 and 3, to read:

12 ARTICLE 2. ARIZONA HEALTH CARE COST CONTAINMENT SYSTEM

13 41-5911. Definitions

14 IN THIS ARTICLE, UNLESS THE CONTEXT OTHERWISE REQUIRES:

15 1. "ADMINISTRATION" MEANS THE ARIZONA HEALTH CARE COST CONTAINMENT  
16 SYSTEM ADMINISTRATION.

17 2. "DEPARTMENT" MEANS THE ARIZONA HEALTH CARE COST CONTAINMENT  
18 SYSTEM.

19 41-5912. Eligibility verification; required sources; data  
20 sources queried; conflicting data; application  
21 status; department employees not in compliance

22 A. UNLESS EXPRESSLY REQUIRED BY FEDERAL LAW, THE DEPARTMENT MAY NOT  
23 APPROVE, RENEW OR CONTINUE ELIGIBILITY FOR ANY APPLICANT OR ENROLLEE IN  
24 ANY PROGRAM ADMINISTERED BY THE DEPARTMENT WITHOUT AFFIRMATIVELY VERIFYING  
25 ALL ELIGIBILITY FACTORS USING DOCUMENTARY EVIDENCE OR TRUSTED ELECTRONIC  
26 DATA SOURCES.

27 B. ELIGIBILITY VERIFICATION FOR ANY PROGRAM ADMINISTERED BY THE  
28 DEPARTMENT SHALL INCLUDE, AT A MINIMUM, ALL OF THE FOLLOWING FOR EACH  
29 APPLICANT OR ENROLLEE:

30 1. INCOME.

31 2. RESIDENCY AND PHYSICAL ADDRESS.

32 3. CITIZENSHIP OR QUALIFIED IMMIGRATION STATUS.

33 4. HOUSEHOLD COMPOSITION, APPLIED WHEN APPLICABLE.

34 5. INCARCERATION STATUS.

35 6. DEATH RECORDS.

36 7. ALL PROPERTY OWNERSHIP OR TRANSFER WHEN REPORTED OR IDENTIFIED  
37 THROUGH DATA MATCHING.

38 C. THE DEPARTMENT SHALL QUERY MULTIPLE INDEPENDENT STATE AND  
39 FEDERAL DATABASES BEFORE APPROVING OR RENEWING AN APPLICATION. AUTHORIZED  
40 DATA SOURCES INCLUDE THE FOLLOWING:

41 1. THE DEPARTMENT OF REVENUE.

42 2. THE ARIZONA DEPARTMENT OF TRANSPORTATION, MOTOR VEHICLE  
43 DIVISION.

44 3. THE DEPARTMENT OF ECONOMIC SECURITY WAGE DATABASES.

45 4. THE STATE DEPARTMENT OF CORRECTIONS AND COUNTY JAIL SYSTEMS.

46 5. COUNTY RECORDER AND ASSESSOR RECORDS.

47 6. THE SOCIAL SECURITY ADMINISTRATION.

1           7. THE SYSTEMATIC ALIEN VERIFICATION FOR ENTITLEMENTS SYSTEM.  
2           8. ANY OTHER LAWFUL STATE OR FEDERAL DATABASE.  
3           D. ELIGIBILITY FOR A PROGRAM ADMINISTERED BY THE DEPARTMENT SHALL  
4 BE AUTOMATICALLY REEVALUATED ON DETECTION OR REPORTING OF ANY OF THE  
5 FOLLOWING:  
6           1. INCOME OR EMPLOYMENT CHANGES.  
7           2. OUT-OF-STATE RESIDENCY INDICATORS.  
8           3. PROPERTY ACQUISITION OR SALE.  
9           4. INCARCERATION OR RELEASE FROM INCARCERATION.  
10          5. DEATH RECORD CONFIRMATION.  
11          E. IF THE DEPARTMENT RECEIVES OR DISCOVERS DATA THAT APPEARS TO BE  
12 CONFLICTING, THE APPLICATION SHALL BE PLACED IN PENDING STATUS OR BE  
13 DENIED OR BENEFITS SHALL BE TERMINATED UNTIL THE CONFLICT IS RESOLVED.  
14 CASES THAT QUALIFY AS HIGH-RISK FOR BENEFITS FRAUD SHALL BE REFERRED TO  
15 THE DEPARTMENT'S OFFICE OF INSPECTOR GENERAL.  
16          F. THE ADMINISTRATION SHALL MAINTAIN A SYSTEM IN WHICH EACH QUERY  
17 OR ACTION IS SAVED SEPARATELY AND NOT SUPERSEDED BY A SUBSEQUENT QUERY OR  
18 ACTION. THE SYSTEM MUST PROVIDE AN AUDIT LOG FOR THE AUDITOR GENERAL THAT  
19 IDENTIFIES:  
20          1. THE DATABASES QUERIED.  
21          2. THE DATA RETURNED.  
22          3. THE ELIGIBILITY RULES THAT WERE APPLIED.  
23          4. THE BASIS FOR THE APPROVAL OR DENIAL OF AN APPLICATION OR  
24 APPLICATION RENEWAL OR THE TERMINATION OF BENEFITS.  
25          G. ANY EMPLOYEE OF THE DEPARTMENT WHO HAS BEEN FOUND THROUGH AN  
26 AUDIT LOG TO HAVE WILFULLY NOT COMPLIED WITH THE ELIGIBILITY VERIFICATION  
27 REQUIREMENTS PRESCRIBED IN THIS SECTION SHALL BE IMMEDIATELY TERMINATED  
28 ~~[AND SHALL FORFEIT ALL BENEFITS UNDER THE ARIZONA STATE RETIREMENT~~  
29 ~~SYSTEM]~~.  
30                 ARTICLE 3. ARIZONA HEALTH CARE COST CONTAINMENT SYSTEM  
31                         AND DEPARTMENT OF ECONOMIC SECURITY  
32           41-5921. Unified eligibility rules engine; eligibility source  
33          A. THE ARIZONA HEALTH CARE COST CONTAINMENT SYSTEM AND THE  
34 DEPARTMENT OF ECONOMIC SECURITY SHALL JOINTLY PROCURE AND OPERATE A  
35 UNIFIED ELIGIBILITY RULES ENGINE THAT IS CAPABLE OF AT LEAST THE  
36 FOLLOWING:  
37          1. REAL-TIME VERIFICATION ACROSS ALL PROGRAMS ADMINISTERED BY BOTH  
38 AGENCIES.  
39          2. IDENTIFICATION OF RISK EVENTS THAT EITHER INCREASE OR DECREASE  
40 THE USE OF PROGRAMS OR SPENDING ON PROGRAMS.  
41          3. EVENT-TRIGGERED REVIEWS OF ELIGIBILITY.  
42          4. FULL AUDIT LOG ACCESS AS PRESCRIBED BY SECTION 41-5912,  
43 SUBSECTION F.  
44          B. THE SYSTEM PROCURED PURSUANT TO SUBSECTION A OF THIS SECTION IS  
45 THE AUTHORITATIVE ELIGIBILITY SOURCE FOR THE ARIZONA HEALTH CARE COST  
46 CONTAINMENT SYSTEM AND THE SUPPLEMENTAL NUTRITION ASSISTANCE PROGRAM.

1       41-5922. Quarterly reports; joint legislative audit  
2               committee; auditor general; audit logs;  
3               confidential briefings

4       A. THE ARIZONA HEALTH CARE COST CONTAINMENT SYSTEM AND THE  
5 DEPARTMENT OF ECONOMIC SECURITY SHALL SUBMIT QUARTERLY REPORTS TO THE  
6 JOINT LEGISLATIVE AUDIT COMMITTEE DETAILING:

- 7       1. PROGRAM ELIGIBILITY APPROVALS AND DENIALS.
- 8       2. THE FREQUENCY OF DATA CONFLICT FLAGS.
- 9       3. IMPROPER PAYMENT ESTIMATES IN THE CURRENT FISCAL YEAR.
- 10      4. THE NUMBER AND CIRCUMSTANCES OF REFERRALS TO LAW ENFORCEMENT.

11      B. THE AUDITOR GENERAL MAY REQUEST AUDIT LOGS FROM THE ARIZONA  
12 HEALTH CARE COST CONTAINMENT SYSTEM AND THE DEPARTMENT OF ECONOMIC  
13 SECURITY WITHOUT A SUBPOENA. THE AUDITOR GENERAL SHALL PROVIDE THE JOINT  
14 LEGISLATIVE AUDIT COMMITTEE WITH CONFIDENTIAL BRIEFINGS RELATING TO THE  
15 AUDITOR GENERAL'S FINDINGS FROM THE AUDIT LOGS RECEIVED.

16      Sec. 4. Title 46, chapter 2, article 2, Arizona Revised Statutes,  
17 is amended by adding section 46-232, to read:

18      46-232. Eligibility verification; self-attestation  
19               prohibited; coordination; department employees not  
20               in compliance

21      A. THE DEPARTMENT OF ECONOMIC SECURITY SHALL APPLY THE SAME  
22 ELIGIBILITY VERIFICATION STANDARDS REQUIRED PURSUANT TO SECTION 41-5912  
23 FOR ALL NEW AND RENEWAL APPLICATIONS FOR THE SUPPLEMENTAL NUTRITION  
24 ASSISTANCE PROGRAM.

25      B. THE DEPARTMENT OF ECONOMIC SECURITY MAY NOT ACCEPT ANY  
26 SELF-ATTESTATION DURING THE ELIGIBILITY VERIFICATION PROCESS UNLESS  
27 EXPRESSLY REQUIRED BY FEDERAL LAW.

28      C. THE DEPARTMENT OF ECONOMIC SECURITY SHALL INTEGRATE THE  
29 ELIGIBILITY SYSTEM FOR THE SUPPLEMENTAL NUTRITION ASSISTANCE PROGRAM WITH  
30 THE ARIZONA HEALTH CARE COST CONTAINMENT SYSTEM'S ELIGIBILITY VERIFICATION  
31 SYSTEM PRESCRIBED IN SECTION 41-5912 AND THE DEPARTMENT OF REVENUE'S WAGE  
32 DATABASES.

33      D. ANY EMPLOYEE OF THE DEPARTMENT OF ECONOMIC SECURITY WHO HAS BEEN  
34 FOUND THROUGH AN AUDIT LOG TO HAVE WILFULLY NOT COMPLIED WITH THE  
35 ELIGIBILITY VERIFICATION REQUIREMENTS PRESCRIBED IN SECTION 41-5912 SHALL  
36 BE IMMEDIATELY TERMINATED ~~[AND SHALL FORFEIT ALL BENEFITS UNDER THE~~  
37 ~~ARIZONA STATE RETIREMENT SYSTEM]~~.

38      Sec. 5. Legislative findings and intent

39      A. The legislature finds that:

- 40      1. Public benefit programs must operate under proof before payment,  
41 not postpayment recovery.
- 42      2. Self-attestation without verification has materially contributed  
43 to fraud, waste and improper payments.
- 44      3. Medicaid procurement practices have restricted competition and  
45 inflated costs through noncompetitive insurer-provider arrangements.
- 46      4. Taxpayers are entitled to transparent pricing, auditable  
47 eligibility determinations and market competition.

1           B. The legislature intends to restore fiscal integrity, eliminate  
2 systemic fraud and reintroduce competitive discipline into this state's  
3 public health care programs.

4           Sec. 6. Short title

5           This act may be cited as the "Arizona Secure Benefits Integrity  
6 Act".

7 Enroll and engross to conform

8 Amend title to conform

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